

Costco Wholesale Corporation (NASDAQ: COST)

The Fee Pays Now, the Warehouses Pay Later

About half of Costco's operating profit comes from membership fees that cost almost nothing to produce. The warehouse business has quietly caught up: it contributed \$5,778mn of FY2026 operating income against \$5,907mn from fees, and on our numbers it takes the lead in FY2027E. We initiate with a BUY and a \$1,050.27 target, 14.8% above the current price.

Half the profit arrives before anyone shops. Membership fees were \$5,907mn in FY2026 against operating income of \$11,685mn. No cost of goods sits against that line, so it falls straight through. The other \$297.2bn of sales produced \$32,968mn of gross profit against \$27,190mn of SG&A, leaving \$5,778mn. Four years ago the fee was clearly the bigger half, \$4,224mn against \$3,569mn. We have merchandise ahead from FY2027E and \$8,499mn against \$7,303mn by FY2029E. The annuity is not shrinking, it has stopped carrying the company alone.

Member growth has stalled. Member quality has not. Paid membership grew 3.8% in the fourth quarter, the slowest since 2017, and management called that the new rate rather than a trough. The rest of the disclosure went the other way: executive members hit a record 50.3% of the base and account for about 76% of sales, and US and Canada renewals rose to 92.3%. We model fee income growth of 9%, 6% and 7% through FY2029E, assuming no recovery in member count and no fee rise before about 2031.

Margin has to come from mix. Gross margin reaches 13.0% in FY2027E from 12.8%. Mark-ups are capped at 14% on national brands and 15% on Kirkland, so price is not a lever. What is left is Kirkland at about a third of sales and roughly 600bp better margin, a shift toward international and digital, and labour deals carrying about 2% wage inflation. SG&A we hold flat at 9.1% of merchandise sales. Operating margin reaches 4.10% from 3.85%. We carry no retail media revenue in the forecast.

FY2027 is the year the cash looks worse. Capex rises 17% to \$7,513mn, or 2.3% of revenue, for 33 openings and supply chain. Free cash flow falls to \$6,776mn from \$9,390mn before recovering to \$9,766mn by FY2029E. Cash of \$21,301mn is already above the roughly \$18bn that preceded the \$15.00 special dividend in January 2024, so a fifth one inside 12 to 18 months is reasonable. It is not in our target.

The de-rating came without a downgrade. COST is 16.6% below its 3rd June high of \$1,096.50 and has returned 3.0% over twelve months against 5.6% for the staples index. In that window it grew Q4 sales 11.1% and EPS 15%, added 18bp of core merchandise margin and lifted its renewal rate. The multiple moved. The numbers did not.

COST	BUY
Price target	\$1,050.27
Price (1 st Oct 2026)	\$914.25
Upside	14.9%
Market cap	\$406.3bn
52-week range	\$844.06 – \$1,096.50
1-year return	+3.0%
Fiscal year end	31 Aug

Parshwa Shah

CFA Level I Passed

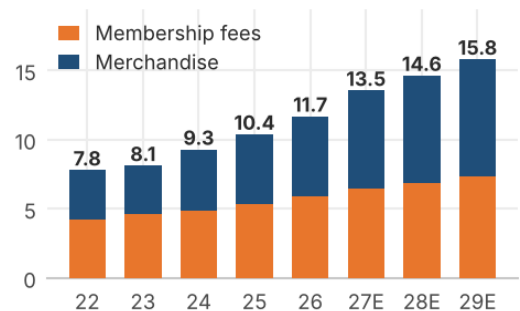
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Q4 FY2026 (reported 25 Sep)

Net sales	\$95.72bn (+11.1%)
Diluted EPS	\$6.75 (+15.0%)
Membership fee income	\$1.849bn (+7.3%)
Renewal, US/Canada	92.3%
Tariff refunds of \$184mn were received in the quarter and roughly 54% went back into shelf prices.	

Operating income (US\$bn)

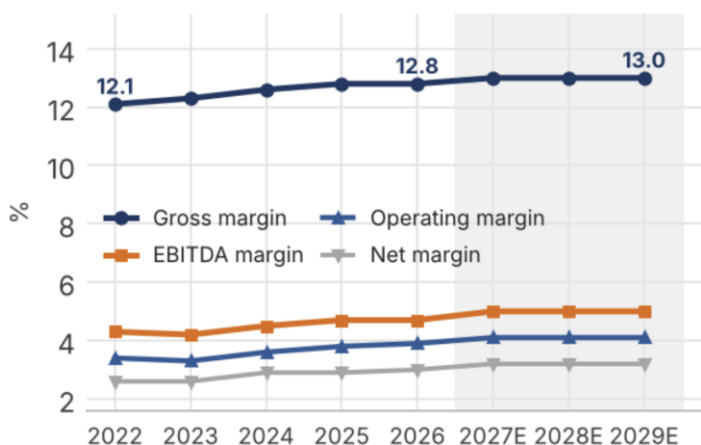


Merchandise overtakes fees in FY2027E.

Valuation snapshot

90% comparables, 10% DCF, weighted 70/20/10. Target implies 43.9x FY2027E EPS against 38.18x today.

Margin ladder (%)



Financial summary

Year to August (US\$mn)	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E
Total revenue	254,453	275,235	303,154	330,438	356,873	385,423
Growth (%)	5.0	8.2	10.1	9.0	8.0	8.0
Membership fee income	4,828	5,323	5,907	6,439	6,825	7,303
Merchandise contribution to EBIT	4,457	5,060	5,778	7,109	7,806	8,499

Gross margin (%)	12.6	12.8	12.8	13.0	13.0	13.0
EBITDA	11,522	12,809	14,359	16,456	17,737	19,156
EBITDA margin (%)	4.5	4.7	4.7	5.0	5.0	5.0
Operating income	9,285	10,383	11,685	13,548	14,632	15,802
Operating margin (%)	3.60	3.80	3.90	4.10	4.10	4.10
Net income	7,367	8,099	9,226	10,628	11,477	12,394
EPS, diluted (\$)	16.56	18.21	20.76	23.94	25.87	28.01
Free cash flow	6,629	7,837	9,390	6,776	8,774	9,766
Warehouses	891	914	939	968	998	1,025
P/E at \$914.25 (x)	55.2	50.2	44.03	38.18	35.3	32.6
EV/EBITDA at \$914.25 (x)	34.2	30.7	27.4	23.9	22.2	20.6

Merchandise contribution is gross profit less membership fee income less SG&A. Free cash flow is operating cash flow less capital expenditure. Costco reports on a 52/53-week year ending the Sunday nearest 31 August.

Valuation

We blend a comparable-company valuation (90%) with a DCF (10%) and weight three scenarios: 70% base, 20% bull, 10% bear. In the base case 27.5x FY2027E EBITDA of \$16,456mn gives \$1,046.87 and 49.25x FY2027E EPS of \$23.95 gives \$1,179.54. The DCF, on an 8.10% WACC and 2.5% terminal growth, gives \$340.36. Blending those produces \$898.25, \$1,035.92 and \$1,176.48, which weight to the \$1,050.27 target.

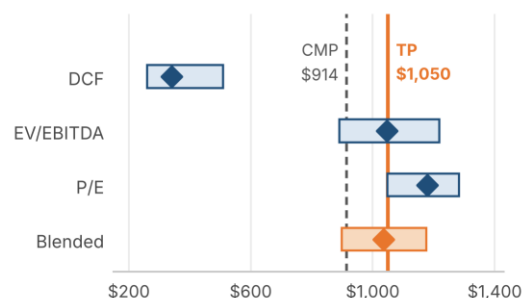
\$ per share	Bear	Base	Bull
DCF	260.41	340.36	509.01
EV/EBITDA (FY2027E)	890.14	1,046.87	1,218.58
P/E (FY2027E)	1,048.10	1,179.54	1,282.71
Blended (90% comps / 10% DCF)	898.25	1,035.92	1,176.48
Probability	10%	70%	20%
Probability-weighted target	\$1,050.27		

Valuation Flag: DCF is nowhere near the market price and no plausible input gets it there. Terminal value is 87.5% of enterprise value on a three-year window that opens at the capex peak, and at our WACC today's price implies 6.2% perpetual free cash flow growth. That is why the model carries 10% rather than 50%. It also means there is no margin of safety here, and anyone who needs one should not own the stock at this price. The cleaner way to see the target is to hold today's 38.18x constant and roll it onto FY2028E EPS of \$25.87. That gives \$988, or 94% of the target.

Key risks

- **Member count.** Growth of 3.8% is the slowest since 2017 and management has guided it flat. Fees fund half of EBIT, so the highest-margin line in the business is capped until this turns.
- **Valuation.** At 38.18x FY2027E there is no cushion. A move to the low 30s, which is inside this stock's own range, is a 15% to 20% drawdown with the numbers unchanged.
- **Renewal mix.** Nearly half of digitally recruited members are under 40 and renew below the 92.3% average. A 100bp move in the rate is worth \$50mn to \$60mn at close to 100% margin.
- **Food deflation.** The fee is justified by a price gap members can see. Costco has not had to defend renewals through a long deflationary stretch, and that is the one scenario we have not modelled.
- **Capex.** \$7.5bn in FY2027 against a 1.7% free cash flow yield makes for a thin year to sit through if anything else slips.

Valuation range (\$/share)



Bars show bear to bull; diamonds mark the base case.

What to watch

Dec 2026: Q1 FY2027, including a second IEEPA tariff refund of about \$180mn and the first quarter without the FY2025 fee increase in the base.

Ongoing: executive penetration toward 55%, a possible fifth special dividend, and the first separately disclosed retail media revenue.

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